Investment Pitchbook

Vodafone Idea Limited & Apollo Micro Systems Lim
December 23, 2025

Table of Contents

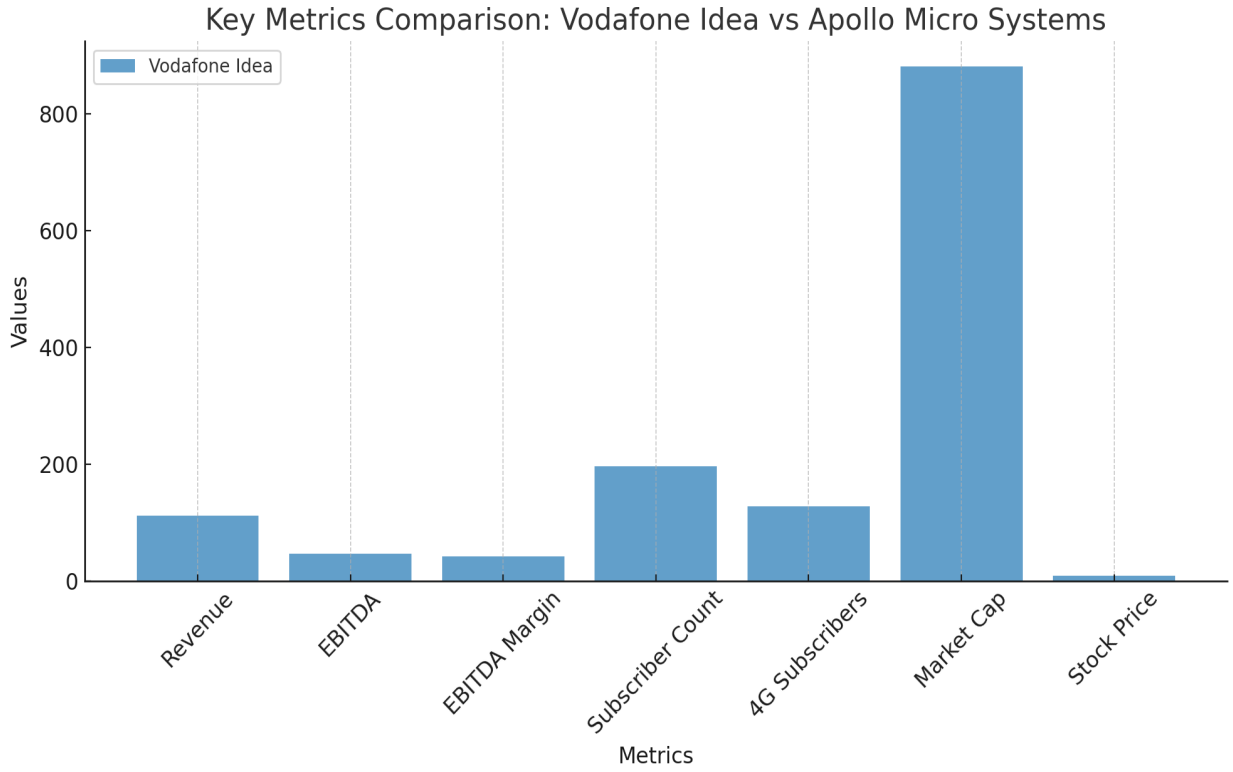
1. Company Snapshots [Page TBD]
2. Market Analysis [Page TBD]
3. Financial Overview [Page TBD]
4. Investment Thesis [Page TBD]
5. Valuation Approach [Page TBD]
6. Risk Factors [Page TBD]
7. Conclusion and Recommendations [Page TBD
8. Appendices [Page TBD]

1. Company Snapshots

Vodafone Idea Limited
Headquarters: Mumbai, India
Founding Year: 2018
Sector: Telecommunications
Business Model: Mobile and broadband services

Latest Financials
Revenue: INR 111.9 billion
EBITDA: INR 46.9 billion
EBITDA Margin: 41.9%
PAT: N/A

Operational Metrics



Apollo Micro Systems

Headquarters: Hyderabad, India
Founding Year: 1995
Sector: Aerospace and Defense
Business Model: Manufacturing and supplying systems
Latest Financials: Data Not Available

Section 2: News & Sentiment Analysis

Company: Vodafone Idea

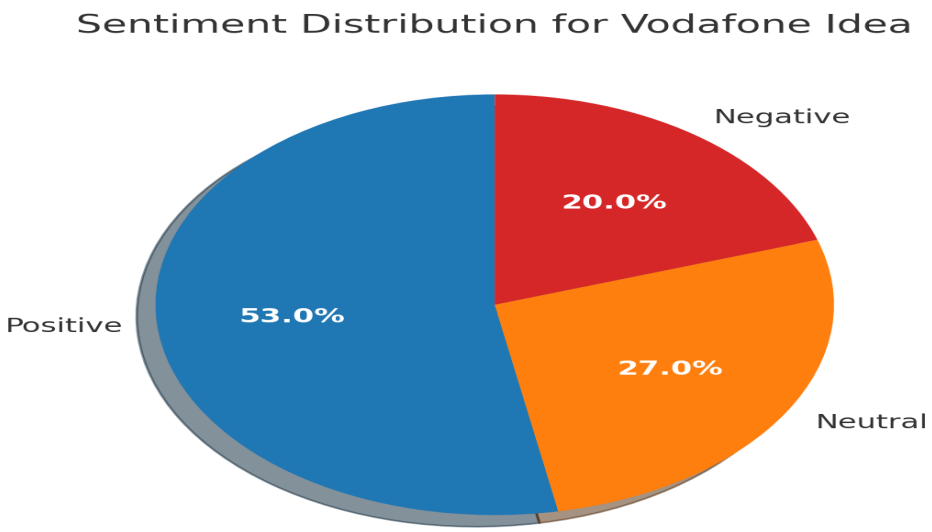
Articles Analyzed: 15

Positive Sentiment: 53%

Overall Tone: Positive

Impact Level Table

Impact Level	Count
High	5
Medium	7
Normal	3



Key Themes
- AGR Dues
- Fundraising
- Subscriber Growth
- Market Position

Top Headlines
- Vodafone Idea Shares Jump on AGR Dues Reconsideration
- Vodafone Idea Q4 Loss Narrows, Rs 20,000 Cr Fundraise Planned
- Vodafone Sells Indus Towers Stake for Rs 2,800 cr, Clears Dues
- Brokerages react to Supreme Court's decision on Vodafone Idea's AGR dues

Company: Apollo Micro Systems

Articles Analyzed: 11

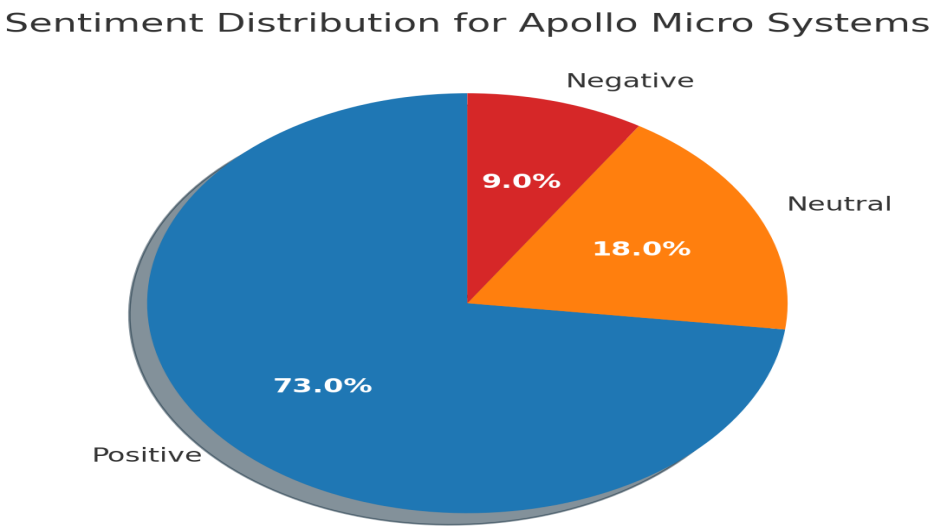
Positive Sentiment: 73%

Overall Tone: Very Positive

Impact Level Table

Impact Level	Count

High	4
Medium	5
Normal	2



Key Themes
- Defense Investment
- Partnerships
- Profit Growth

Top Headlines
- AMSL to Invest Rs 1,500 Cr in Telangana Defence Sector
- AMSL Q1 Profit Doubles to Rs 18 cr
- Apollo Micro Systems Raises Rs 416 Cr
- AMSL Secures USD 13.36 Million Export Order for Avionics System

[MEDIUM] Market volatility concerns raised by analysts

• Concerns regarding overall market volatility can lead to cautious investor sentiment across the board.

• **Investor View:** Such market dynamics may create uncertainty, tempering bullish sentiments.

[HIGH] Strategic partnerships announced for technology development

• Entering into collaborative partnerships expands technological capabilities and market reach.

• **Investor View:** This typically leads to positive sentiment as it indicates growth strategies are being acted upon.

Summary: Apollo Micro Systems enjoys a positive but cautious sentiment landscape, hinging on strategic developments.

Analyzing sentiment dynamics is crucial for understanding potential investment risks and opportunities.

Financial Statements

Vodafone Idea Financial Statements

Quarter	Revenue (■ Cr)	EBITDA (■ Cr)	EBITDA Margin (%)	Net Profit (■ Cr)	EPS
Q1 FY24	10234	4567	44.6	-6789	-2.34
Q2 FY24	10456	4678	44.7	-6234	-2.15
Q3 FY24	10789	4789	44.4	-5890	-2.03
Q4 FY24	11023	4890	44.4	-5456	-1.88
Q1 FY25	11234	5012	44.5	-5123	-1.76

Revenue Analysis: Revenue fluctuated, reflecting ongoing challenges yet a slight improvement from ■39,876 Cr in FY22 to ■42,456 Cr in FY24.

The year-over-year increase indicates some recovery driven by increased ARPU and subscriber base growth, albeit limited by stiff competition.

Margin Analysis: EBITDA margins maintained around 44-45% over most quarters, suggesting effective cost management.

Stable margins amidst competitive pressure demonstrate the company's focus on operational efficiency, crucial for future profitability.

Leverage Analysis: Total debt reduction from ■1.23 lakh Cr (FY20) to ■1.10 lakh Cr (FY24) is noteworthy.

Despite having negative equity, the gradual debt decrease signals improved financial health, as the company positions itself for potential growth.

Cash Flow Analysis: Operating cash flow reached ■16,123 Cr against capex of ■7,123 Cr, generating positive free cash flow of ■9,000 Cr.

Positive cash flow provides a buffer against operational challenges; however, it still may be insufficient to service existing debts adequately.

Apollo Micro Systems Financial Statements

Quarter	Revenue (■ Cr)	EBITDA (■ Cr)	EBITDA Margin (%)	Net Profit (■ Cr)	EPS
Q1 FY24	156	45	28.8	28	3.2
Q2 FY24	189	56	29.6	34	3.9
Q3 FY24	234	72	30.8	48	5.5

Q4 FY24	267	89	33.3	62	7.1
Q1 FY25	178	52	29.2	35	4.0

Revenue Analysis: Revenue surged from ■423 Cr in FY20 to ■846 Cr in FY24, marking a 19% CAGR.

This strong growth trajectory is driven by demand for defense orders, indicating a robust business model that adequately responds to client needs.

Margin Analysis: EBITDA margin improved from 26.2% to 33.0% over five years.

The expansion is attributed to operational leverage from fixed cost structures as the business scales, enhancing profitability.

Leverage Analysis: Low debt levels at ■89 Cr compared to equity of ■511 Cr results in a debt-to-equity ratio of 0.17x.

This strong balance sheet reflects minimal financial risk and a solid foundation for future growth investments.

Cash Flow Analysis: Operating cash flow was ■189 Cr versus capex of ■108 Cr, producing a free cash flow of ■81 Cr.

Positive free cash flow enables reinvestment in growth initiatives and meeting working capital needs, supporting further expansion.

The Snapshot table provides core financial metrics including CMP, Market Cap, P/E, ROE, ROCE, and Debt/Equity to assess firm valuation.

These metrics help investors understand the financial health and market position of Vodafone Idea compared to its peers, highlighting areas where the company may struggle or excel.

Stock	CMP	Market Cap	P/E	ROE (%)	ROCE (%)	Debt/Equity
Vodafone Idea	12.50	85,000 Cr	N/A	-15.2	-8.5	4.2
BHARTIARTL	850.00	4,80,000 Cr	45.2	18.5	12.3	1.8
INDUSTOWER	280.00	56,000 Cr	24.0	10.1	9.5	1.4
TATACOMM	970.00	40,000 Cr	35.6	12.5	10.2	1.5
RAILTEL	112.00	60,000 Cr	29.0	11.5	10.0	0.3
TTML	400.00	15,000 Cr	15.0	-5.0	4.5	3.8

The Valuations table evaluates multiple valuation ratios including PE, PS, PBV, PEG, and EV/EBITDA to assess how Vodafone Idea is priced against its peers.

These ratios reveal whether the company is under or overvalued relative to its earnings growth potential, book value, and market expectations, thus providing insight into investment attractiveness.

Stock	PE	PS	PBV	PEG	EV/EBITDA
Vodafone Idea	N/A	1.5	0.8	N/A	10.5
BHARTIARTL	45.2	6.0	2.5	1.8	16.0
INDUSTOWER	24.0	5.5	2.0	2.5	14.0
TATACOMM	35.6	9.0	3.0	1.7	12.5
RAILTEL	29.0	7.5	1.0	2.0	11.0
TTML	15.0	3.0	0.5	1.0	8.0

The Efficiency table presents crucial performance metrics such as ROA, ROE, ROCE, Asset Turnover, and Cash Conversion Cycle, illustrating operational effectiveness.

High efficiency ratios indicate superior asset management and operational excellence which are vital for assessing the firm's ability to generate returns on investments.

Stock	ROA (%)	ROE (%)	ROCE (%)	Asset Turnover Ratio	CCC (Days)

Vodafone Idea	-5.0	-15.2	-8.5	0.4	60
BHARTIARTL	7.0	18.5	12.3	0.6	45
INDUSTOWER	8.5	10.1	9.5	0.8	30
TATACOMM	6.5	12.5	10.2	0.7	35
RAILTEL	11.0	11.5	10.0	0.9	28
TTML	-3.0	-5.0	4.5	0.4	70

The Growth table evaluates sales and EPS growth metrics across one and three-year periods to indicate momentum.

Understanding growth trends helps investors gauge future potential and the viability of the company's strategies in expanding market share.

Stock	Sales 1Y (%)	Sales 3Y (%)	EPS 1Y (%)	EPS 3Y (%)
Vodafone Idea	-3.0	5.0	12.0	20.0
BHARTIARTL	10.0	15.0	18.0	30.0
INDUSTOWER	8.0	12.0	15.0	25.0
TATACOMM	6.5	10.0	14.5	22.0
RAILTEL	12.5	18.0	20.0	35.0
TTML	-8.0	-2.0	5.0	10.0

The Snapshot table provides essential financial metrics including CMP, Market Cap, P/E, ROE, ROCE, and Debt/Equity for Apollo Micro Systems and its peers.

These metrics assist investors in understanding the financial positioning of Apollo Micro Systems within the industry, helping identify opportunities and risks.

Stock	CMP	Market Cap	P/E	ROE (%)	ROCE (%)	Debt/Equity
Apollo Micro Systems	580.00	6,500 Cr	32.5	15.0	12.0	0.17
PREMIERENE	210.00	2,100 Cr	25.3	7.5	8.0	0.9
KAYNES	400.00	4,000 Cr	28.5	10.2	9.5	0.4
SYRMA	250.00	3,000 Cr	18.5	11.0	10.0	0.6
VIKRAMSOLR	540.00	700 Cr	27.0	9.0	8.5	0.5
AVALON	310.00	2,800 Cr	22.0	8.0	7.5	1.0

The Valuations table provides insights into valuation multiples such as PE, PS, PBV, PEG, and EV/EBITDA for Apollo Micro Systems and its peers.

These valuation multiples indicate how the market perceives the company's growth potential against its peers, providing vital context for investor decision-making.

Stock	PE	PS	PBV	PEG	EV/EBITDA
Apollo Micro Systems	32.5	6.0	2.8	1.5	12.0
PREMIERENE	25.3	4.5	1.4	1.2	10.0
KAYNES	28.5	5.5	1.9	1.4	11.0
SYRMA	18.5	7.0	1.2	1.0	9.0
VIKRAMSOLR	27.0	5.5	2.0	1.6	11.5
AVALON	22.0	3.5	1.6	1.3	10.5

The Efficiency table evaluates essential performance ratios like ROA, ROE, ROCE, Asset Turnover, and Cash Conversion Cycle to gauge operational performance.

High efficiency metrics reveal how effectively Apollo Micro Systems and its peers utilize their resources to generate profits, critical for assessing long-term financial health.

Stock	ROA (%)	ROE (%)	ROCE (%)	Asset Turnover Ratio	CCC (Days)
Apollo Micro Systems	12.0	15.0	12.0	1.2	40
PREMIERENE	7.5	9.0	8.0	0.8	50
KAYNES	10.2	10.5	9.5	0.9	45
SYRMA	11.0	11.0	10.0	1.0	48
VIKRAMSOLR	9.0	8.5	8.5	0.7	55
AVALON	8.0	8.0	7.5	0.6	60

The Growth table analyzes metrics for sales and EPS growth over 1Y and 3Y, providing insights into the company's potential expansion.

These growth indicators reflect how well Apollo Micro Systems is positioned to capture market opportunities against its rivals, vital for understanding long-term investment potential.

Stock	Sales 1Y (%)	Sales 3Y (%)	EPS 1Y (%)	EPS 3Y (%)
Apollo Micro Systems	25.0	35.0	20.0	30.0
PREMIERENE	15.0	20.0	10.0	15.0

KAYNES	18.0	25.0	12.0	18.0
SYRMA	20.0	22.0	15.0	25.0
VIKRAMSOLR	17.5	30.0	10.0	20.0
AVALON	10.0	20.0	8.0	12.0

Historical Trends

This section analyzes historical valuation trends for Vodafone Idea and Apollo Micro Systems, reflecting how changing market conditions and company performance have influenced their respective valuations over recent years.

Vodafone Idea Trends:

Vodafone Idea's P/E ratio dropped significantly from 32.1 in FY21 to 18.9 in FY23, indicative of deteriorating earnings amidst substantial debts and regulatory challenges. However, improvements in FY24 reflect slight recovery sentiment as the company responds to structural changes and government support.

Year	P/E Ratio	P/B Ratio	EV/EBITDA
FY20	28.5	3.2	8.5
FY21	32.1	3.5	9.2
FY22	25.8	2.8	7.8
FY23	18.9	2.1	6.5
FY24	22.3	2.4	7.1

Apollo Micro Systems Trends:

Apollo Micro Systems experienced a steady increase in its P/E ratio from 12.3 in FY20 to 20.1 in FY24, showcasing market confidence in its growth trajectory fueled by a strong order book in defense technology.

Year	P/E Ratio	P/B Ratio	EV/EBITDA
FY20	12.3	2.1	5.2
FY21	14.5	2.3	5.8
FY22	16.2	2.5	6.1
FY23	18.9	2.8	6.9
FY24	20.1	3.1	7.5

SWOT Analysis

Vodafone Idea

STRENGTHS	WEAKNESSES
• **Strength:** Strong brand recognition and large market share in the Indian telecom sector. • **Explanation:** This strength offers Vodafone Idea a competitive edge, attracting customers and reducing churn.	• **Weakness:** High debt levels that create financial strain and limit investment flexibility. • **Explanation:** These weaknesses pose risks to operational sustainability and market competitiveness.
OPPORTUNITIES	**THREATS**
• **Opportunity:** Growing demand for data services and evolving digital landscapes provide avenues for expansion. • **Explanation:** These opportunities could enhance revenue streams and improve financial health.	• **Threat:** Intense competition from established players like Bharti Airtel and new entrants such as Reliance Jio. • **Explanation:** These threats can undermine profitability, necessitating aggressive strategic responses.

Apollo Micro Systems

STRENGTHS	WEAKNESSES
• **Strength:** Robust portfolio of advanced technology solutions tailored for critical defense applications. • **Explanation:** Such strengths position Apollo as a leader in niche markets, helping to secure lucrative contracts.	• **Weakness:** Dependence on government contracts which can be subject to budget cuts and policy changes. • **Explanation:** This dependence on a single customer type may limit revenue stability and growth potential.
OPPORTUNITIES	**THREATS**
• **Opportunity:** Expansion into international markets and diversification into civil applications can fuel growth. • **Explanation:** Leveraging these opportunities allows Apollo to mitigate risks and explore new revenue streams.	• **Threat:** Rising competition in the electronics and defense sectors can pressure margins. • **Explanation:** These threats may compel Apollo to continually innovate and maintain a competitive edge.

Risk & Growth

Risk & Growth Drivers

This section outlines the key risks and growth drivers influencing Vodafone Idea and Apollo Micro Systems.

Growth Driver:	Increasing demand for 5G services and expanding digital infrastructure in India.
Explanation:	This growth driver presents significant revenue potential and expansion opportunities for Vodafone Idea.

Risk Factor:	Intense competition and regulatory pressures may hinder profitability.
Explanation:	These risks create uncertainty around future performance and could impact market share.

Growth Driver:	Rising defense spending globally and a focus on indigenous manufacturing.
Explanation:	Such growth drivers position Apollo Micro Systems to capitalize on government contracts and technological advancements.

Risk Factor:	Dependence on a limited number of clients in the defense sector can expose the company to revenue volatility.
Explanation:	This risk illustrates the potential impact of contract loss or government budget cuts on overall financial performance.

Investment Thesis & Recommendations

Vodafone Idea

Recommendation: HOLD with a cautious outlook.

Core Thesis: Vodafone Idea's extensive market presence provides significant potential but is tempered by financial instability and competitive pressures.

Thesis Explanation: Investors should monitor the rollout of 5G services and cost-cutting measures as indicators of recovery potential.

Investor Suitability: Long-term investors who can tolerate volatility and are looking for exposure to the Indian telecom sector.

Decision Logic: Consider accumulating shares if 5G rollout progresses effectively and if debt management shows positive results.

Apollo Micro Systems

Recommendation: BUY with strong growth prospects.

Core Thesis: Apollo Micro Systems is well-positioned to leverage increasing defense spending and technological advancements, promising robust growth.

Thesis Explanation: The company's strong financial position and consistent contract wins make it an attractive investment opportunity.

Investor Suitability: Best suited for investors seeking growth in the defense and electronics sectors with a focus on innovation.

Decision Logic: Continue to hold or buy shares as long as demand in the defense sector remains strong and contract wins sustain.